

**Time:** 5 minutes**Outcome:** Explain the slope and shifters of aggregate demand.**Difficulty:**

●●○ Intermediate

Aggregate Demand



THE CORE IDEA

Aggregate demand shows the total quantity of domestically produced goods and services demanded at each price level. It slopes downward because a lower price level increases the purchasing power of money balances, tends to reduce interest rates, and makes domestic goods relatively cheaper abroad. Consumption, investment, government purchases, or net exports can change for reasons other than the price level; those changes shift the entire aggregate-demand curve.



HOW TO RECOGNIZE IT

- Movement along AD: a change in the current price level changes real output demanded.
- Shift of AD: consumption, investment, purchases, or net exports change independently of the price level.
- Compare quantities at the same price level to identify a shift.

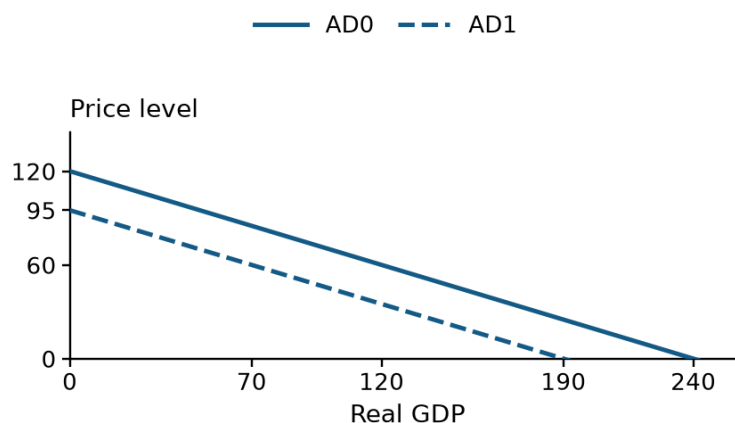


WATCH OUT

A current price-level change moves along aggregate demand (AD). A change in planned spending at every price level shifts AD. Identify which variable changes first.



WORKED EXAMPLE: A LEFTWARD SHIFT OF AGGREGATE DEMAND



A fall in planned consumption shifts aggregate demand left from AD0 to AD1. At a price level of 60, real GDP demanded falls from about 120 to about 70, a decrease of about 50 units. Spending changes at every price level, so this is a shift to a new AD curve, not movement along AD0.



CHECK YOURSELF

What change from AD0 to AD1 is shown?

**READY?**

Return to the game and master this concept.